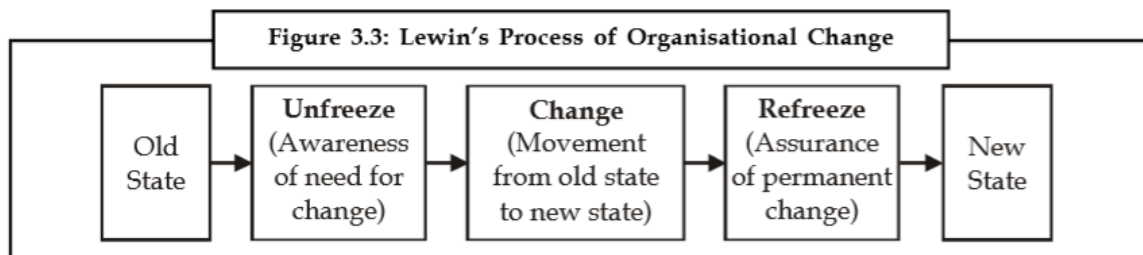


UNIT II

1. Kurt Lewin – Force Field Theory



Psychologist Kurt Lewin developed the Force Field Analysis model to help us understand how the change process works. Although developed over 50 years ago, Lewin's Force Field Analysis model remains the prominent way of viewing this process. One side of the Force Field Model represents the driving forces that push organisations towards a new state of affairs. There are several driving forces in the environment like information technology, global and local competition and demographics. Along with these external forces are driving forces that seem to originate from within the organisation, such as competition across divisions of the company and the leaders need to impose his or her image on the organisation.

The Kurt Lewin model can help a leader do the following three steps:

1. Make a radical change
2. Minimize the disruption of the structure's operations
3. Make sure that the change is adopted permanently.

Kurt Lewin's Change Theory

This three step model gives a manager or change agent an idea of what implementing change means when dealing with people. The three phases of the Kurt Lewin model provide guidance on how to go about getting people to change: a manager will implement new processes and reassign tasks, but change will only be effective if the people involved embrace it and help putting it into practice it.

Lewin's Change Model – Unfreeze – “ready to change”

Unfreezing is the process by which people become aware of the need for change. If people are satisfied with current practices and procedures, they may have little or no interest in making employees understand the importance of a change and how their jobs will be affected by it. The employees who will be most affected by the change must be made aware of why it is needed, which in effect makes them dissatisfied enough with current operations to be motivated to change.

When a structure has been in place for a while, habits and routine have naturally settled in. The organization as a whole is going in the right direction, but – as shown on the illustration – people or processes may have strayed off course. For example, tasks that are not relevant or useful anymore are still being performed by force of habit, without anyone questioning their legitimacy. Similarly, people might have learned to do things one way, without considering other, more efficient methods. Unfreezing means getting people to gain perspective on their day-to-day activities, unlearn their bad habits, and open up to new ways of reaching their objectives. Basically, the current practices and processes have to be reassessed in order for the wheels of change to be set in motion.

Lewin's Change Model – Change – “implementation”

Change itself is the movement from the old way of doing things to a new way. Change may entail installing new equipments, restructuring the organisation, implementing a new performance appraisal system - anything that alters existing relationships or activities

Once team members have opened up their minds, change can start. The change process can be a very dynamic one and, if it is to be effective, it will probably take some time and involve a transition period. In order to gain efficiency, people will have to take on new tasks and responsibilities, which entails a learning curve that will at first slow the organization down. A change process has to be viewed as an investment, both in terms of time and the allocation of resources: after the new organization and processes have been rolled out, a certain chaos might ensue, but that is the price to pay in order to attain enhanced effectiveness within the structure.

Lewin's Change Model – Freeze (sometimes called refreeze)- “making it stick”

Refreezing makes new behavior relatively permanent and resistant to further change.

Change will only reach its full effect if it's made permanent. Once the organizational changes have been made and the structure has regained its effectiveness, every effort must be made to cement them and make sure the new organization becomes the standard. Further changes will be made down the line, but once the structure has found a way to improve the way it conducts its operations, "re-freezing" will give the people the opportunity to thrive in the new organization and take full advantage of the change.

2. The Burke-Litwin Model of Organizational Change

The next model to be examined is the Burke-Litwin model of individual and organizational performance, developed by Warner Burke and George Litwin. This model shows how to create first-order and second-order change (which the authors call transactional change and transformational change).

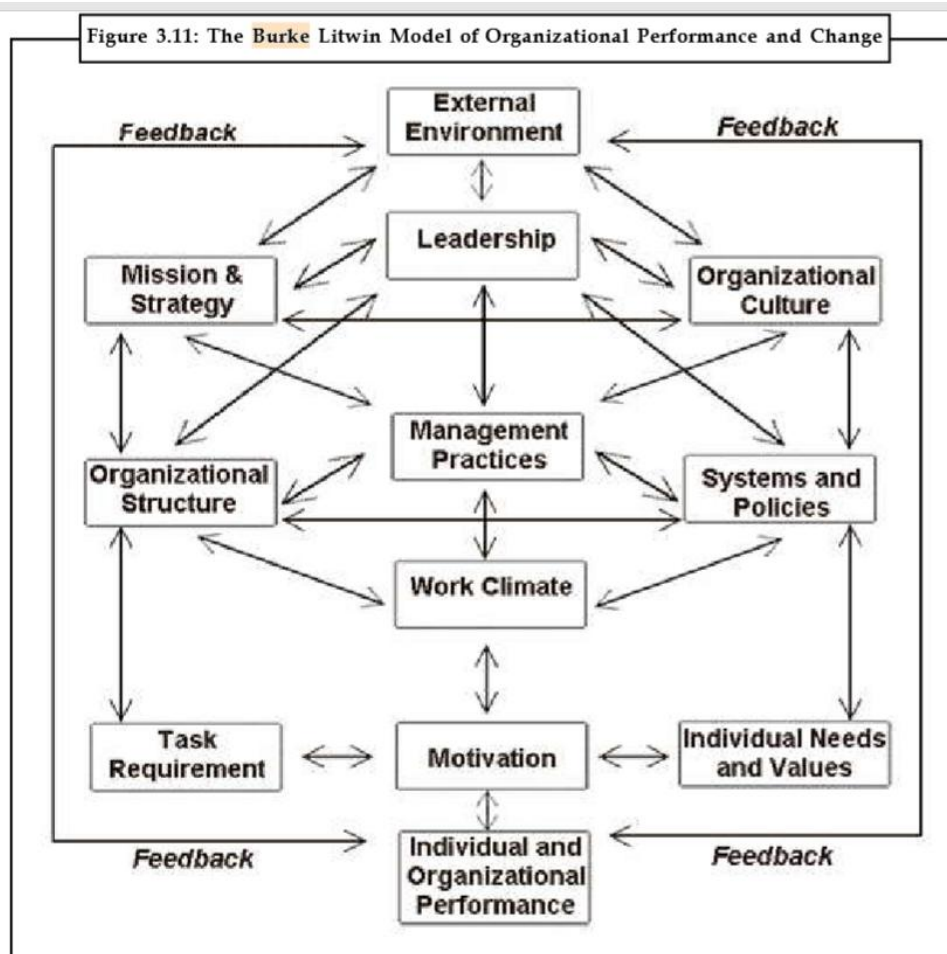
In first-order change, some features of the organization change but the fundamental nature of the organization remains the same. First-order change goes by many different labels: transactional, evolutionary, adaptive, incremental, or continuous change.

In second-order change, the nature of the organization is fundamentally and substantially altered $\pm$ the organization is transformed. Second-order change goes by many different labels: transformational, revolutionary, radical, or discontinuous change. OD programs are directed toward both first and second-order change, with an increasing emphasis on second order transformational change. The model distinguishes between organizational climate and organizational culture.

Organizational climate is defined as peoples perceptions and attitudes about the organization whether it is a good or bad place to work, friendly or unfriendly, hard-working or easy going, and so forth. These perceptions are relatively easy to change because they are built on employees reactions to current managerial and organization practices. On the other hand, organizational culture is defined as deep-seated assumptions, values, and beliefs that are enduring, often unconscious, and difficult to change.

The premise of the Burke-Litwin model is this: OD interventions directed toward structure, management practices, and systems (policies and procedures) result in first-order change; interventions directed toward mission and strategy, leadership, and organization culture result

in second-order change. The model also makes a distinction between transactional and transformational leadership styles. These two concepts come from leadership research which found that some leaders are capable of obtaining extraordinary performance from followers while other leaders are not. Transformational leaders are “leaders who inspire followers to transcend their own self-interest for the good of the organization and who are capable of having a profound and extraordinary effect on their followers.” Transformational leadership embodies inspiration which leads to new heights of performance. Transactional leaders are “leaders who guide or motivate their followers in the direction of established goals by clarifying role and task requirements.” Transactional leadership embodies a fair exchange between leader and follower that leads to “normal” performance. Transactional leadership is sufficient for causing first-order change. Transformational leadership is required for causing second-order change. Now let us look at the Burke-Litwin model. We will do so in several steps. Following figure shows the factors involved in first-order (transactional) change. Changing structure, management practices, and systems cause changes in work unit climate, which change motivation and, in turn, individual and organizational performance. Transactional leadership is required to make this change in organizational climate. On the other hand, if we want to cause second-order (transformational) change, we must change mission and strategy, leadership styles, and organization culture



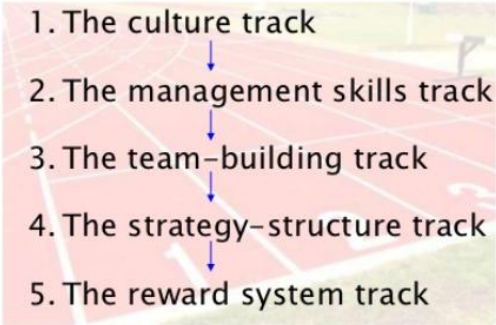
The top half of figure displays the factors involved in transformational change. These factors are powerful enough to change the culture fundamentally. The bottom half of figure displays the factors involved in transactional change. These factors are able to change the climate. To summarize, Burke and Litwin propose that interventions directed toward leadership, mission and strategy, and organization culture produce transformational change or fundamental change in the organizations culture. Interventions directed toward management practices, structure, and systems produce transactional change or change in organizational climate. Burke says: Thus, there are two distinct sets of organizational dynamics. One set primarily is associated with the transactional level of human behaviour or the everyday interactions and exchanges that create the climate. The second set of dynamics is concerned with processes of human transformation; that is, sudden “leaps” in behaviour; these transformational processes are required for genuine change in the culture of an organization.

3. Ralph Kilman 5 sequential stages of organizational

Models and theories Contd..

Ralph Kilmann

Five critical leverage points (tracks) for organization change

- 
1. The culture track
 2. The management skills track
 3. The team-building track
 4. The strategy-structure track
 5. The reward system track

Track 1 : Enhances trust, communication, information sharing

Track 2 : Provide new ways of coping with complex problems

Track 3 : Infuses new culture and updated management skills

Track 4 : Develops revised strategy plan for organization

Track 5 : Establishes performance based reward system

change

Can our organizations be changed? Are methods now available that can tackle such a complex arrangement of strategies, structures, rewards, cultures, assumptions, and psyches? The answer is yes, if managers and all employees will unlearn their old ways and be willing to adopt a new way of managing the holographic world around them: Quick fixes are to be avoided, integrated programs are to be embraced.

The five tracks to organizational success constitute a completely integrated program. Each track is implemented as a collaborative, participative effort among managers, consultants, and members.

1. The Culture Track

The culture track is the ideal place to start the program, for several reasons. It is enlightening to openly discuss what previously was seldom written down or mentioned in any conversation. Members enjoy—even laugh at—the revelations that occur as dysfunctional norms (the unwritten rules of the game) are brought to everyone's attention. It is also much easier to blame norms than to blame one-self or other people. As long as members take responsibility for change, it does not really matter if using norms as a scapegoat takes some pressure off their egos. Of prime significance, however, is that without an initial culture change, it is unlikely that the other four tracks can be successful. In many cases, cultural

norms pressure members to: (1) keep information to themselves, (2) distrust managers at the next highest level, (3) disbelieve that anything will really change, and (4) discourage any new behaviors without question. It would be most difficult to teach managers and members new skills if these attitudes and beliefs guided everyone's motivation to learn.

The culture track consists of a five step process: (1) surfacing actual norms, (2) articulating what is needed for success today, (3) establishing new norms, (4) identifying culture-gaps, and (5) closing culture-gaps. For example, some actual work group norms that may surface are: Don't disagree with your boss; don't make waves, treat women as second-class citizens; don't share information with other groups; do as little as is necessary to get by. Often, work groups pressure each member to follow such dysfunctional norms out of habit—as in a culture rut. The culture track first exposes the old culture and then, if necessary, creates a new adaptive culture: Treat everyone with respect and as a potential source of valuable insight and expertise; initiate changes to improve performance; congratulate those who suggest new ideas and new ways of doing things; be helpful and supportive of the other groups in the organization. Controlling culture, rather than being controlled by it, gives the membership enough freedom to proceed with the next track.

2. The Skills Track

The skills track is needed because employees usually have not kept up with the holographic world in which they live and its dynamic, complex problems. They often have not developed the skills—conceptual, analytical, administrative, social, and interpersonal—to manage complexity. Traditionally, employees pick the first available quick-fix solution before they even bother to define the root causes of the problem and then, to top it all off, they implement the quick-fix solution in a mechanistic manner; not surprisingly, the problem never gets resolved. However, once managers are receptive to change—through the culture track—they and all employees can be taught the full range of skills needed to conduct a five step process for effective problem management: (1) sensing problems, (2) defining problems, (3) deriving solutions, (4) implementing solutions, and (5) evaluating outcomes.

The skills track also offers a systematic method for uncovering the underlying assumptions that drive all decisions into action. If these assumptions have remained unstated and therefore

untested, employees may have continually made the wrong decisions. The deadliest assumption is referred to as erroneous extrapolation: What made the organization successful in the past will make it successful in the future.

Specifically, employees may have assumed: No new competitors will enter the industry; the economy will steadily improve; the government will continue to restrict foreign imports; the consumer will buy whatever the firm produces; employees will continue to accept the same working conditions. In short, all previous decisions may have been based more on fantasy and habit than on reality and choice. Outdated assumptions may have steered the organization into adopting the wrong strategies, structures, and reward systems as well. However, given a new culture that encourages trust and openness, members now will be able to analyze their previously unstated assumptions before any critical decisions are made. No longer will the membership be held back by its own faulty assumptions.

3. The Team Track

As the culture and skills tracks are encouraging new behaviors, skills, and assumptions, the next effort lies in directly transferring these learnings into the mainstream of organizational life. Specifically, the team track does three things: (1) keeps dysfunctional behavior in check so negativity will not disrupt cooperative team efforts, (2) brings the new learnings into the day-to-day activities of each work group, and (3) enables cooperative decisions to take place across work group boundaries, as in multiple team efforts. In this way, all available expertise and information will come forth to manage the complex technical and business problems that arise within and between work groups. As the culture opens up everyone's minds as well as their hearts, work groups can examine, maybe for the first time, the particular barriers that have held them back in the past. Through various workshop sessions, old warring cliques become well-functioning teams.

4. The Strategy-Structure Track

Eventually it becomes time for the membership to take on one of the most difficult problems facing any organization in a dynamic and complex environment: aligning its formally documented systems. One might think that the mission of the firm and its corresponding strategic choices should have been the first topics addressed. Why should the organization

proceed with changes in culture, management skills, and team efforts before the new directions are formalized? Is it not logical to first know the directions before the rest of the system is put in place? Yes, that is logical. But there are other things operating in a complex organization besides logic. If we understand culture, assumptions, and psyches—the holographic view of the world—we recognize that it makes little sense to plan the future directions of the firm if members do not trust one another and will not share important information with one another, expose their tried-and-true assumptions, or commit to the new directions anyway because the culture will not allow it. If the prior tracks have not accomplished their purposes, the strategy-structure problem will be addressed through politics and vested interests, not through an open exchange of ideas and a cooperative effort to achieve organizational success.

The strategy-structure track is conducted in an eight step process: (1) making strategic choices, (2) listing objectives to be achieved and tasks to be performed, (3) analyzing objective/task relationships, (4) calculating inefficiencies that stem from an out-of-date structure, (5) diagnosing structural problems, (6) designing a new structure, (7) implementing the new structure, and (8) evaluating the new structure. As a result of this process, the members remove a two-sided barrier to success: bureaucratic red tape that moves the organization in the wrong direction. In its place is a structure aligned with the firm's strategy.

5. The Reward System Track

Once the organization is moving in the right direction with the right structure and resources, the reward system track completes the program by making sure that rewards vary directly with performance. The formal system is designed via a seven step process: (1) designing special task forces to study the problem, (2) reviewing the types of reward systems, (3) establishing several alternative reward systems, (4) debating the assumptions behind the alternative reward systems, (5) designing the new reward system, (6) implementing the new reward system, and (7) evaluating the new reward system.

The reward system also specifies how performance results and reward decisions are communicated to each member of the organization during face-to-face meetings with a superior. In essence, two different types of meetings are necessary: (1) a performance review

to provide information for evaluative purposes and (2) a counseling session to provide feedback for learning purposes. These two types of meetings ensure that members understand their performance results and will be able to improve for the next cycle—taking into account human nature.

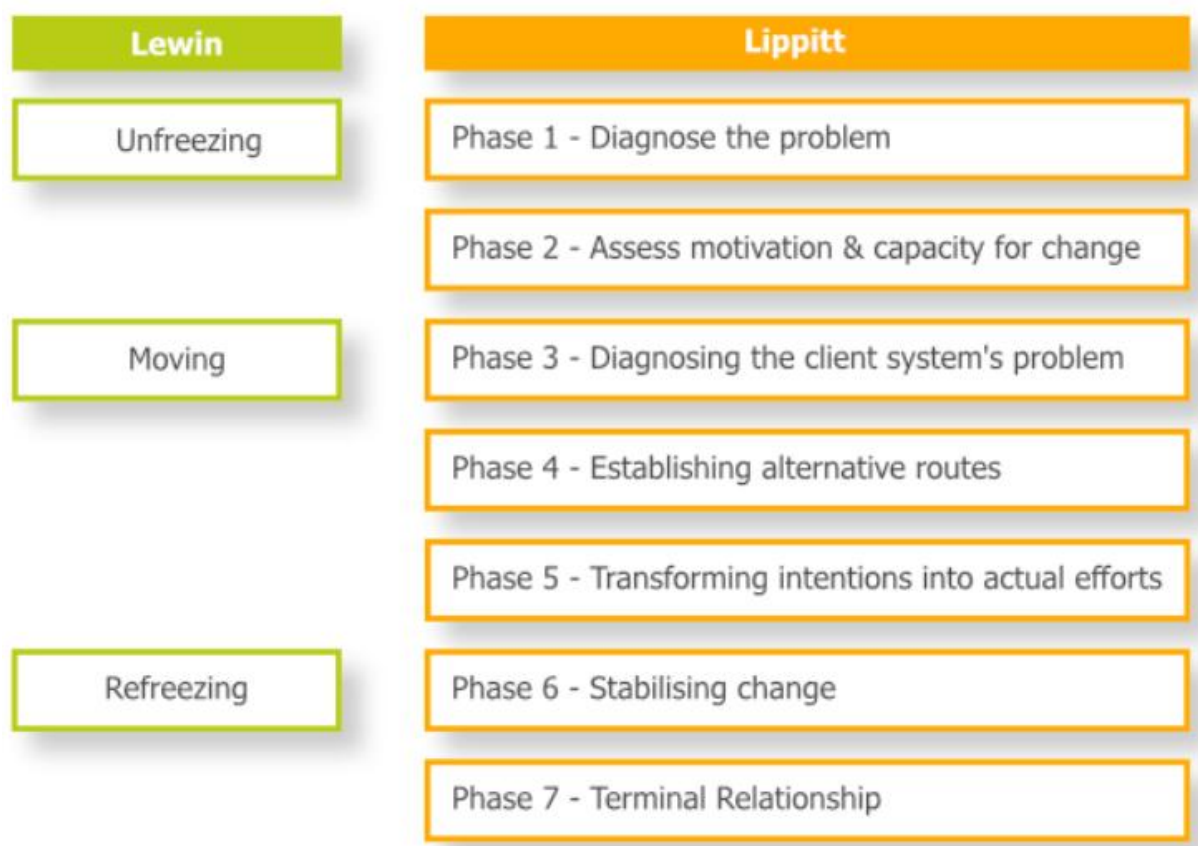
INTEGRATING ALL FIVE TRACKS

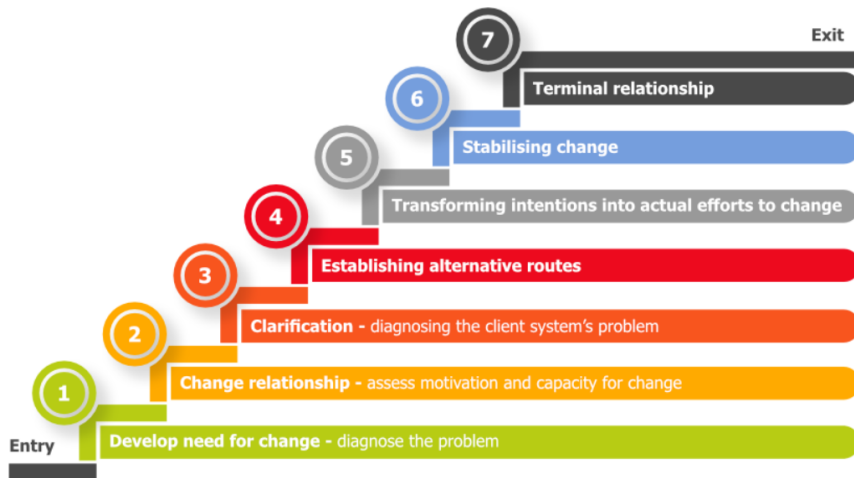
The reward system track is futile if all the other tracks have not been managed properly. Without a supportive culture, members will not believe that rewards are tied to performance—regardless of what the formal documents state; instead, they will believe that it is useless to work hard and do well since rewards will be seen as being based on favoritism and politics. Similarly, if employees do not have the skills to conduct performance appraisal, for example, any well-intentioned reward system will be thwarted; the arousal of defensiveness will inhibit each member's motivation to improve his performance. Without effective teams, employees and members will not be comfortable in openly sharing such information as the results of performance reviews and the distribution of rewards; in the absence of such information, imaginations will run wild since nobody will know for sure whether high performers receive significantly more rewards than low performers. Furthermore, if the strategy and structures are not designed properly, the reward system cannot measure performance objectively; only if each group is autonomous can its output be assessed as a separate quantity.

What if individuals disregard the formal reward system and strive to excel for intrinsic rewards, such as personal satisfaction for a job well done? If the other tracks have not been managed properly, even the most dedicated efforts by the members will not lead to high performance for the organization. Instead, members' efforts will be blocked by all the barriers to success that are still in force: dysfunctional cultures, outdated management skills, poorly functioning work groups, unrealistic strategic choices, and misaligned structures. Alternatively, whatever improvements were realized as a result of the earlier tracks will not be sustained if the membership is not ultimately rewarded for high performance: the old dysfunctional cultures, assumptions, and behaviors will creep back into the work place. Thus, the reward system is the last major barrier that must be transformed into a channel for success, the “bottom line” for the membership.

To illustrate the integrated nature of the five tracks, consider the following scenario: If I could investigate only one aspect of an organization in order to predict its long-term success, I would choose the reward system. In essence, if members feel that (1) the reward system is fair, (2) they are rewarded for high performance, and (3) the performance appraisal system regularly provides them with specific and useful information so that they know where they stand and can improve their performance, then, in all likelihood, all tracks have been managed properly. The reward system could not motivate members to high performance if all the other barriers to organizational success have not been removed by the preceding four tracks. Thus, a well-functioning, performance-based reward system generally signifies that the organization is ready for whatever problems and opportunities will come its way.

4. Ronald Lippitt, Jeanne Watson & Bruce Westly 7 stage Organizational change





Phase 1: Developing a need for change; diagnosing the problem

- The creation of problem awareness and a strong feeling in the client for a need for change.
- Recognising the existence of any communication blockages between client and practitioner
- The creation of at least some confidence within the client that their situation can move to a more desirable state and tackling defeatist beliefs
- The client has to be helped to believe that external help or the practitioner's help is relevant and available and linked to that
- working with the client to resolve resistance to help from outside/by the practitioner – the client may see this is a failing on their part for not being able to resolve change to a positive outcome themselves for instance. There could also be cultural or social foundations for resistance we need to be aware of.

Phase 2: Change relationship; assessing motivation and capacity for change

This phase may reveal or generate problems for the client

- in communicating their need for help with change in a way that the practitioner understands and accepts or
- by the client needing to assess the validity of the practitioner's assessment and ability to help

Lippitt argues that one of the crucial features of this phase is the way that the client starts to think about working relationship with the practitioner, the first impression they have of the practitioner. **Reassuring** the client and using a friendly and open way of communicating with them that is not authoritative is important. This includes the client's attitude towards and opinion of career guidance/counselling and your position within the organisation if your work is within a school environment for instance. **Building trust** is important in this phase. Also, the client may not be sure about the process and may expect relatively 'quick and easy solutions' offered by the practitioner. We need to help the client create **realistic expectations**.

Phase 3: Clarification; diagnosing the client system's problem

- In this phase, the client often needs to cope with a broader and more involved diagnosis of the problem and the consequential change, according to Lippitt. As a result, the client may come to think that their problem is too complex to be resolved and change may not happen or may be too difficult.
- Another client response Lippitt identified is of the client becoming hostile and uncooperative, closing down communication with the practitioner or denying the working relationship information to work with.

Phase 4: Establishing alternative routes

The client starts translating 'the diagnoses into possible routes forward. Alternative routes forward are discussed between client and practitioner.

- **Motivation** is important in choosing alternative solutions and making a decision as to which one would be best. Commitment requires an **emotional and material/practical investment** and the client will make assessments as to the resources that are required, which will affect motivation positively ("oh, that's easy enough") or negatively (feeling overwhelmed for instance).
- There is a **realisation that old habits and practices will need to be given up**. This may result in a tendency in the client to retract back to known habits and practices or this may cause anxiety or fear of failure.

Phase 5: Transforming intentions into actual efforts to change

So far, success is measured by the extent to which plans and intentions are translated into actual action for change or achievements. Lippitt doesn't seem to have a lot to say about this phase that is of use to us in a career context other than that the practitioner may not be able to see the efforts for change in the environment the client has to apply them. Getting feedback on the consequences (or effects) of the change process may be difficult, he also argues, which may cause the client to discontinue their efforts to implement or continue implementing the changes agreed upon.

Phase 6: Stabilising change

Lippitt rightly claims that one critical factor in the stabilisation of change is that of the spread or 'non-spread' of the changes to 'neighbouring systems or subsystems', which can be translated to whether the changes are integrated within the client's framework of habits and whether their surroundings support maintaining the change.

Phase 7: Terminal relationship

Lippitt claims that the client's **dependency on the practitioner** is a major issue when terminating the relationship. Another issue at the end of our working relationship is the question of whether the client has integrated the techniques and behaviours to implement and sustain change enough to ensure their long term viability. At the end of the working relationship we need to make sure that we fully understand how far and **how well change behaviours and thinking has been integrated** within the client's natural thinking and behaviour. We also need to act if this is not the case, postponing the point of termination of the working relationship.

KOTTER'S THEORY

(Source: Adapted from Kotter 1996)

1. Creating an Urgency: This can be done in the following ways:

- Identifying and highlighting the potential threats and the repercussions which might crop up in the future.
- Examining the opportunities which can be tapped through effective interventions.
- Initiate honest dialogues and discussions to make people think over the prevalent issues and give convincing reasons to them.
- Request the involvement and support of the industry people, key stakeholders and customers on the issue of change.

2. Forming Powerful Guiding Coalitions

This can be achieved in the following ways:

- Identifying the effective change leaders in your organizations and also the key stakeholders, requesting their involvement and commitment towards the entire process.
- Form a powerful change coalition who would be working as a team.
- Identify the weak areas in the coalition teams and ensure that the team involves many influential people from various cross functional departments and working in different levels in the company.

3. Developing a Vision and a Strategy

This can be achieved by:

- Determining the core values, defining the ultimate vision and the strategies for realizing a change in an organization.
- Ensure that the change leaders can describe the vision effectively and in a manner that people can easily understand and follow.

4. Communicating the Vision

- Communicate the change in the vision very often powerfully and convincingly. Connect the vision with all the crucial aspects like performance reviews, training, etc.
- Handle the concerns and issues of people honestly and with involvement.

5. Removing Obstacles

- Ensure that the organizational processes and structure are in place and aligned with the overall organizational vision.
- Continuously check for barriers or people who are resisting change. Implement proactive actions to remove the obstacles involved in the process of change.
- Reward people for endorsing change and supporting in the process.

6. Creating Short-Term Wins

- By creating short term wins early in the change process, you can give a feel of victory in the early stages of change.
- Create many short term targets instead of one long-term goal, which are achievable and less expensive and have lesser possibilities of failure.
- Reward the contributions of people who are involved in meeting the targets.

7. Consolidating Gains

- Achieve continuous improvement by analysing the success stories individually and improving from those individual experiences.

8. Anchoring Change in the Corporate Culture

- Discuss the successful stories related to change initiatives on every given opportunity.
- Ensure that the change becomes an integral part in your organizational culture and is visible in every organizational aspect.
- Ensure that the support of the existing company leaders as well as the new leaders continue to extend their support towards the change.

Advantages of Kotter's Model

- It is an easy step by step model which provides a clear description and guidance on the entire process of change and is relatively easy for being implemented.
- Emphasis is on the involvement and acceptability of the employees for the success in the overall process.
- Major emphasis is on preparing and building acceptability for change instead of the actual change process.

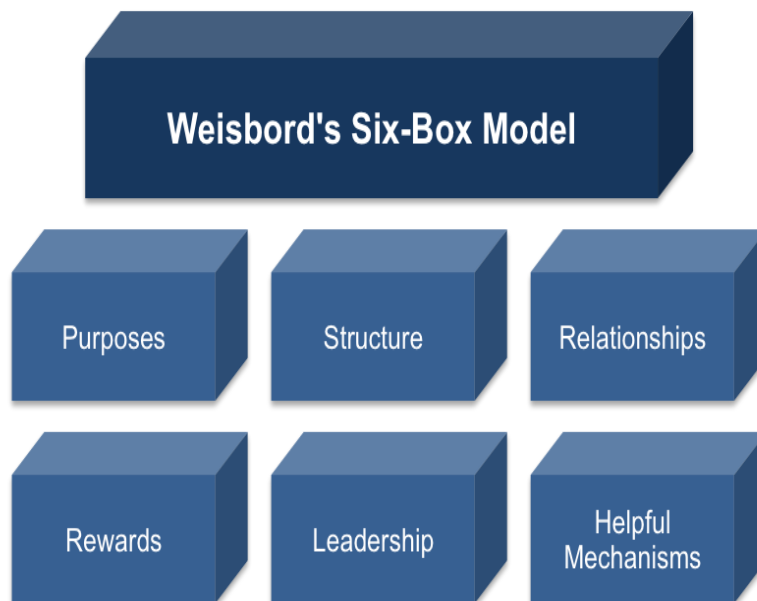
Disadvantages of Kotter's Model

- Since it is a step by step model, skipping even a single step might result in serious problems.
- The process is quite time consuming (Rose 2002).
- The model is essentially top-down and discourages any scope for participation or co-creation.
- Can build frustration and dissatisfaction among the employees if the individual requirements are given due attention.

MARVIN WEISBORD'S SIX BOX MODEL

Weisbord's Six-Box Model

A framework developed by Marvin Weisbord, this model is one that can help you to accurately assess the functioning of your organization. One of the advantages of using this specific model is its ability to adapt to just about any business that you happen to be in.



The model is meant for use 'across the board', so you should find it helpful regardless of your field. The six boxes that are alluded to in the title refer to the following –

- Purposes
- Structure
- Relationships

- Rewards
- Leadership
- Helpful Mechanisms

To allow you to gain a better understanding of this six-box model and how it can help you understand your organization, we have highlighted each of the six points below.

Purposes

This is a very general piece of the puzzle to get started, but it is an important one nonetheless. You need to understand very specifically what businesses you are in, and what businesses you want to be in moving forward.

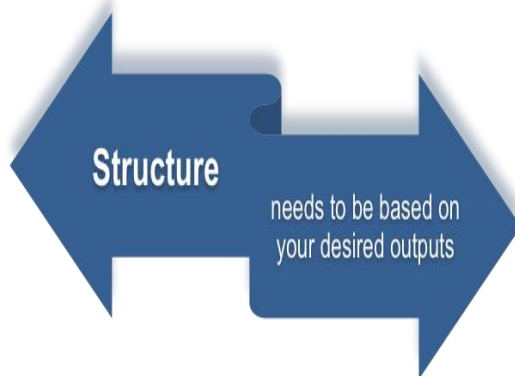


While that might seem like a somewhat obvious point, it could be a little more complicated than you think once you get into it. For instance, if you have developed a customer base that is somewhat outside of the target market you initially laid out for your products, you might find that your company is competing in an arena that is slightly unexpected. Business frequently takes unexpected turns, so stay on top of your organization by understanding exactly where you are competing and what it takes to win in those areas.

Structure

Moving on to the next point starts to get into the details of how your business operates and how it works on a daily basis. The structure of the organization will have a lot to say about what you are able to produce, and at what cost you are able to produce it. Who is responsible for doing what within the company? How is the work that each person is doing going to contribute to the greater good of selling quality products for low prices to customers?

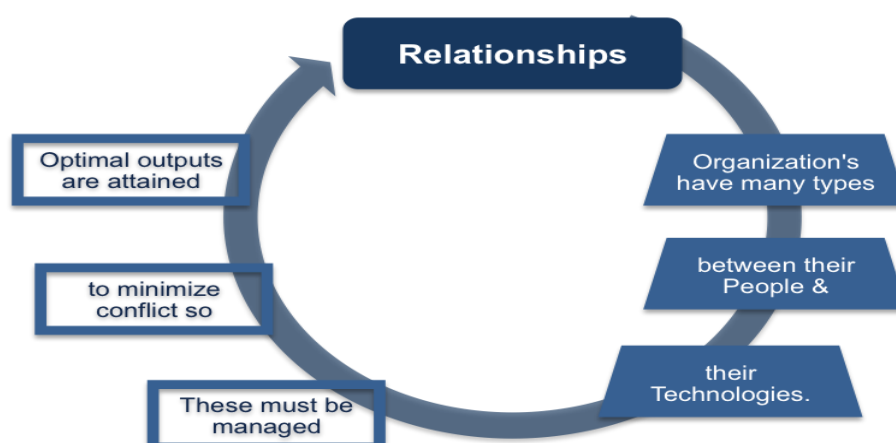
Structuring your business in a logical way based on the desired outputs you have in mind is one of the most important things you can do going forward. Many businesses have been derailed by poor organization even if they have good products and innovative ideas.



The lesson is clear – don't take this point for granted. Work hard on your business structure and you will likely be rewarded for your efforts.

Relationships

Business is a never ending stream of relationships. There are the obvious relationships between people both within your organization and outside of it that need to be managed. Also, there are the relationships between your people and your technologies that need to be successfully managed in order to achieve optimal outputs.



When you have inevitable conflicts in some of these relationships – either between people, or between people and machines – you need to have a clear and concise plan for how those conflicts are going to be resolved. It isn't a matter of completely avoid conflict, as conflict is

going to happen one way or another, but it is more a matter of knowing how to handle it effectively when it arises. Healthy relationships are required for business growth, so don't sit idle when there are connections that need to be mended.

Rewards

Most people function best when offered some form of reward for their efforts. Obviously, a pay check is a natural reward in a work setting, but you often need to go beyond just a salary in order to get the best from your people.



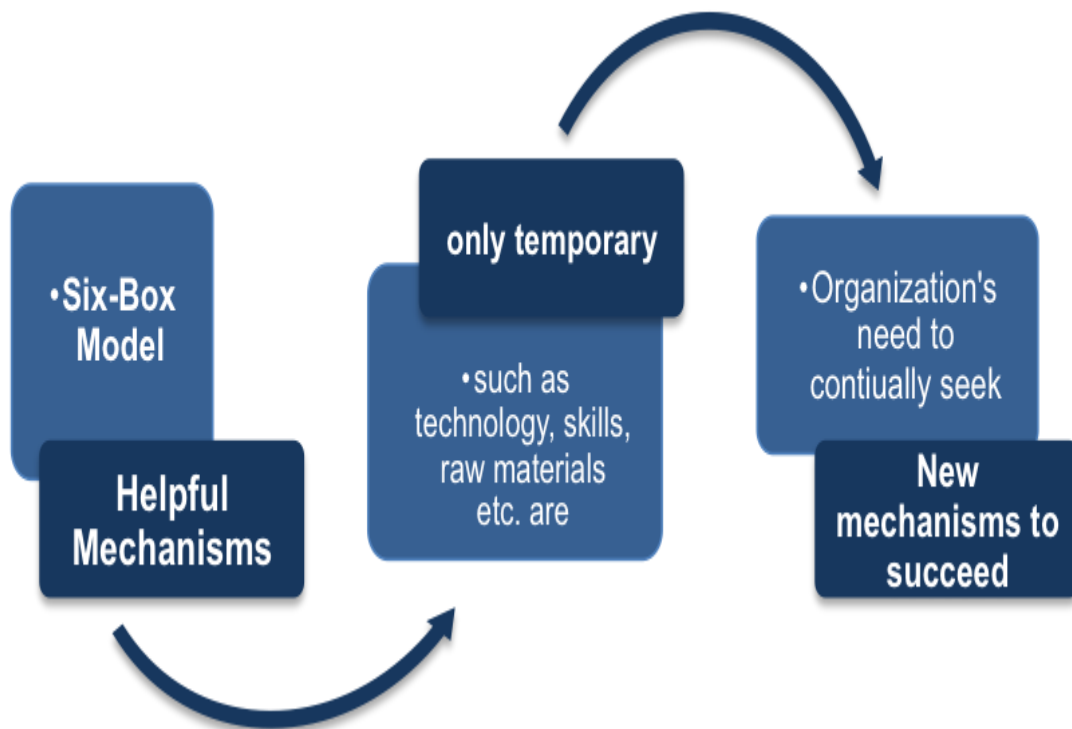
When you are asking your teams to work hard for the good of the organization as a whole, those people need to feel invested in some way in their work. If all of the profits and accolades are going to ownership and upper management, what motivation is there for the rest of the team to work hard day in and day out? Creating a structure of worthy rewards is one of the most important things managers can do to develop a positive culture that runs from top to bottom in the business.

Leadership

Speaking of a positive culture, leadership is another important piece of the organizational puzzle. When you have strong leadership in place, it helps everyone else go about their work each day with a sense of confidence and purpose. Of course, it should be noted that strong leadership doesn't have to mean ruling the company 'with an iron fist'. Rather, it is often better to be an understanding and caring leader, working as a part of the team rather than being removed from it in a distant corner office.

Helpful Mechanisms

Having in place the technologies and other pieces of the puzzle that make the organization work is essential to your success. These mechanisms are certain to change over time as technology improves and markets advance accordingly, so you will want to stay on top of the things that you are using to be efficient and competitive. What was once considered to be a 'helpful mechanism' could quickly fall out of date and become a liability to your business. Don't just assume that something which was once helpful is going to remain so for years to come – technology changes quickly, and those companies that fail to keep up with it will usually wind up looking up at the competition as it pulls away.



Taking the time to go through the six-box model as it relates to your organization is a useful exercise that could yield a number of interesting and revealing discoveries. One of the most common mistakes in business is assuming that you already know everything there is to know about the way your business operates and the way it competes in the market.

Unfortunately, that is rarely the case. More likely, you have a lot to learn, just like everyone else, and the six-box model can help you in that quest. Work hard on each of the six points in

this model and you will come out on the other side with a sound understanding of how your business works and what it is you can do to stay competitive over the long run.

Key Points

- The six-box model is a generic framework developed by the American analyst Marvin Weisbord to assess the functioning of organizations.
- The six-boxes that make up the model are: Purposes, structure, relationships, rewards, leadership, and helpful mechanisms.
- Purposes: Do organizational members agree with and support the organization's mission and goals?
- Structure: Is there a fit between the purpose and the internal structure of the organization?
- Relationships: What type of relations exist between individuals, between departments, and between individuals and the nature of their jobs? Is their interdependence? What is the quality of relations? What are the modes of conflict?
- Rewards: What does the organization formally reward, and for what do organizational members feel they are rewarded and punished? What does the organization need to do to fit with the environment?
- Leadership: Do leaders define purposes? Do they embody purposes in their programs? What is the normative style of leadership?
- Helpful Mechanisms: Do these mechanisms help or hinder the accomplishment of organizational objectives?
- One of the most common mistakes in business is assuming that you already know everything there is to know about the way your business operates and the way it competes in the market.
- Taking the time to go through Weisbord's six-box model as it relates to your organization is a useful exercise that could yield a number of interesting and revealing discoveries.

SOCIO TECHNICAL SYSTEMS THEORY AND ITS FIVE COMPONENTS

Sociotechnical systems (STS) in organizational development is an approach to complex organizational work design that recognizes the interaction

between people and technology in workplaces. The term also refers to the interaction between society's complex infrastructures and human behaviour. In this sense, society itself, and most of its substructures, are complex sociotechnical systems.

The term sociotechnical systems was coined by Eric Trist, Ken Bamforth and Fred Emery, in the World War II era, based on their work with workers in English coal mines at the Tavistock Institute in London.^[1] Sociotechnical systems pertains to theory regarding the social aspects of people and society and technical aspects of organizational structure and processes. Here, technical does not necessarily imply material technology. The focus is on procedures and related knowledge, i.e. it refers to the ancient Greek term *techne*. "Technical" is a term used to refer to structure and a broader sense of technicalities. Sociotechnical refers to the interrelatedness of *social* and *technical* aspects of an organization or the society as a whole.^[2]

Sociotechnical theory is about *joint optimization*, with a shared emphasis on achievement of both excellence in technical performance and quality in people's work lives. Sociotechnical theory, as distinct from sociotechnical systems, proposes a number of different ways of achieving joint optimisation. They are usually based on designing different kinds of organisation, ones in which the relationships between socio and technical elements lead to the emergence of productivity and wellbeing.

Sociotechnical refers to the interrelatedness of *social* and *technical* aspects of an organization. Sociotechnical theory is founded on two main principles:

- One is that the interaction of social and technical factors creates the conditions for successful (or unsuccessful) organizational performance. This interaction consists partly of linear "cause and effect" relationships (the relationships that are normally "designed") and partly from "non-linear", complex, even unpredictable relationships (the good or bad relationships that are often unexpected). Whether designed or not, both types of interaction occur when socio and technical elements are put to work.
- The corollary of this, and the second of the two main principles, is that optimization of each aspect alone (socio or technical) tends to increase not only the quantity of unpredictable, "un-designed" relationships, but those relationships that are injurious to the system's performance.

Therefore, sociotechnical theory is about *joint optimization*,^[3] that is, designing the social system and technical system in tandem so that they work smoothly together. Sociotechnical theory, as distinct from sociotechnical systems, proposes a number of different ways of achieving joint optimization. They are usually based on designing different kinds of organization, ones in which the relationships between socio and technical elements lead to the emergence of productivity and wellbeing, rather than the all too often case of new technology failing to meet the expectations of designers and users alike.

The scientific literature shows terms like *sociotechnical* all one word, or *socio-technical* with a hyphen, *sociotechnical theory*, *sociotechnical system* and *sociotechnical systems theory*. All of these terms appear ubiquitously but their actual meanings often remain unclear. The key term "sociotechnical" is something of a buzzword and its varied usage can be unpicked. What can be said about it, though, is that it is most often used to simply, and quite correctly, describe any kind of organization that is composed of people and technology.

The key elements of the STS approach include combining the human elements and the technical systems together to enable new possibilities for work and pave the way for technological change (Trist, 1981). The involvement of human elements in negotiations may cause a larger workload initially, but it is crucial that requirements can be determined and accommodated for prior to implementation as it is central to the systems success.^[4] Due to its mutual causality (Davis, 1977), the STS approach has become widely linked with autonomy, completeness and job satisfaction as both systems can work together to achieving a goal.^[5]

(Mumford, 1983b) defines the Socio-Technical approach to recognise technology and people to ensure work systems are highly efficient and contain better characteristics which leads to higher job satisfaction for employees, resulting in a sense of fulfilment to improving quality of work and exceeding expectations. (Mumford and Weir, 1979; Mumford, 1995) concludes that the development of information systems is not a technical issue, but a business organisation issue which is concerned with the process of change.^[6]

ETHICs (Effective Technical & Human Implementation of Computer-based Systems) methodology was developed by Mumford with the goal of creating better work systems and a more equitable workplace.^[7] This method uses action research to help make radical improvements in work design. There is also a consensus approach which includes consultative participation. It allows work colleagues to become more motivated to expressing

ideas. The method allows employees to get involved with the design process, meaning they have involvement in designing a job system and resolving conflicts. This method doesn't provide a straightforward approach for successful change, but does involve employees making an ethical and more supportive system design.^[8]

Principles[edit]

Some of the central principles of sociotechnical theory were elaborated in a seminal paper by Eric Trist and Ken Bamforth in 1951.^[9] This is an interesting case study which, like most of the work in sociotechnical theory, is focused on a form of 'production system' expressive of the era and the contemporary technological systems it contained. The study was based on the paradoxical observation that despite improved technology, productivity was falling, and that despite better pay and amenities, absenteeism was increasing. This particular rational organisation had become irrational. The cause of the problem was hypothesized to be the adoption of a new form of production technology which had created the need for a bureaucratic form of organization (rather like classic command-and-control). In this specific example, technology brought with it a retrograde step in organizational design terms. The analysis that followed introduced the terms "socio" and "technical" and elaborated on many of the core principles that sociotechnical theory subsequently became.

“The key elements of the STS approach include combining the human elements and the technical systems together to enable new possibilities for work and pave the way for technological change. Due to its mutual causality, the STS approach has become widely linked with autonomy, completeness and job satisfaction as both systems can work together to achieving a goal.”^[5]

Responsible autonomy[edit]

Sociotechnical theory was pioneering for its shift in emphasis, a shift towards considering teams or groups as the primary unit of analysis and not the individual. Sociotechnical theory pays particular attention to internal supervision and leadership at the level of the "group" and refers to it as "responsible autonomy".^[9] The overriding point seems to be that having the simple ability of individual team members being able to perform their function is not the only predictor of group effectiveness. There are a range of issues in team cohesion research, for

example, that are answered by having the regulation and leadership internal to a group or team.^[10]

These, and other factors, play an integral and parallel role in ensuring successful teamwork which sociotechnical theory exploits. The idea of semi-autonomous groups conveys a number of further advantages. Not least among these, especially in hazardous environments, is the often felt need on the part of people in the organisation for a role in a small primary group. It is argued that such a need arises in cases where the means for effective communication are often somewhat limited. As Carvalho states, this is because "...operators use verbal exchanges to produce continuous, redundant and recursive interactions to successfully construct and maintain individual and mutual awareness...".^[11] The immediacy and proximity of trusted team members makes it possible for this to occur. The coevolution of technology and organizations brings with it an expanding array of new possibilities for novel interaction. Responsible autonomy could become more distributed along with the team(s) themselves.

The key to responsible autonomy seems to be to design an organization possessing the characteristics of small groups whilst preventing the "silo-thinking" and "stovepipe" neologisms of contemporary management theory. In order to preserve "...intact the loyalties on which the small group [depend]...the system as a whole [needs to contain] its bad in a way that [does] not destroy its good".^[9] In practice,^[12] this requires groups to be responsible for their own internal regulation and supervision, with the primary task of relating the group to the wider system falling explicitly to a group leader. This principle, therefore, describes a strategy for removing more traditional command hierarchies.

Adaptability[edit]

Carvajal states that "the rate at which uncertainty overwhelms an organisation is related more to its internal structure than to the amount of environmental uncertainty".^[13] Sitter in 1997 offered two solutions for organisations confronted, like the military, with an environment of increased (and increasing) complexity: "The first option is to restore the fit with the external complexity by an increasing internal complexity. ...This usually means the creation of more staff functions or the enlargement of staff-functions and/or the investment in vertical information systems".^[14] Vertical information systems are often confused for "network enabled capability" systems (NEC) but an important distinction needs to be made, which Sitter et al. propose as their second option: "...the organisation tries to deal with the external

complexity by 'reducing' the internal control and coordination needs. ...This option might be called the strategy of 'simple organisations and complex jobs'. This all contributes to a number of unique advantages. Firstly is the issue of "human redundancy"^[15] in which "groups of this kind were free to set their own targets, so that aspiration levels with respect to production could be adjusted to the age and stamina of the individuals concerned".^[9] Human redundancy speaks towards the flexibility, ubiquity and pervasiveness of resources within NEC.

The second issue is that of complexity. Complexity lies at the heart of many organisational contexts (there are numerous organizational paradigms that struggle to cope with it). Trist and Bamforth (1951) could have been writing about these with the following passage: "A very large variety of unfavourable and changing environmental conditions is encountered ... many of which are impossible to predict. Others, though predictable, are impossible to alter."^[9]

Many type of organisations are clearly motivated by the appealing "industrial age", rational principles of "factory production", a particular approach to dealing with complexity: "In the factory a comparatively high degree of control can be exercised over the complex and moving "figure" of a production sequence, since it is possible to maintain the "ground" in a comparatively passive and constant state".^[9] On the other hand, many activities are constantly faced with the possibility of "untoward activity in the 'ground'" of the 'figure-ground' relationship"^[9] The central problem, one that appears to be at the nub of many problems that "classic" organisations have with complexity, is that "The instability of the 'ground' limits the applicability ... of methods derived from the factory".^[9]

In Classic organisations, problems with the moving "figure" and moving "ground" often become magnified through a much larger social space, one in which there is a far greater extent of hierarchical task interdependence.^[9] For this reason, the semi-autonomous group, and its ability to make a much more fine grained response to the "ground" situation, can be regarded as "agile". Added to which, local problems that do arise need not propagate throughout the entire system (to affect the workload and quality of work of many others) because a complex organization doing simple tasks has been replaced by a simpler organization doing more complex tasks. The agility and internal regulation of the group allows problems to be solved locally without propagation through a larger social space, thus increasing tempo.

Whole tasks[edit]

Another concept in sociotechnical theory is the "whole task". A whole task "has the advantage of placing responsibility for the ... task squarely on the shoulders of a single, small, face-to-face group which experiences the entire cycle of operations within the compass of its membership."^[9] The Sociotechnical embodiment of this principle is the notion of minimal critical specification. This principle states that, "While it may be necessary to be quite precise about what has to be done, it is rarely necessary to be precise about how it is done".^[16] This is no more illustrated by the antithetical example of "working to rule" and the virtual collapse of any system that is subject to the intentional withdrawal of human adaptation to situations and contexts.

The key factor in minimally critically specifying tasks is the responsible autonomy of the group to decide, based on local conditions, how best to undertake the task in a flexible adaptive manner. This principle is isomorphic with ideas like effects-based operations (EBO). EBO asks the question of what goal is it that we want to achieve, what objective is it that we need to reach rather than what tasks have to be undertaken, when and how. The EBO concept enables the managers to "...manipulate and decompose high level effects. They must then assign lesser effects as objectives for subordinates to achieve. The intention is that subordinates' actions will cumulatively achieve the overall effects desired".^[17] In other words, the focus shifts from being a scriptwriter for tasks to instead being a designer of behaviours. In some cases, this can make the task of the manager significantly less arduous.

Meaningfulness of tasks[edit]

Effects-based operations and the notion of a "whole task", combined with adaptability and responsible autonomy, have additional advantages for those at work in the organization. This is because "for each participant the task has total significance and dynamic closure"^[9] as well as the requirement to deploy a multiplicity of skills and to have the responsible autonomy in order to select when and how to do so. This is clearly hinting at a relaxation of the myriad of control mechanisms found in more classically designed organizations.

Greater interdependence (through diffuse processes such as globalisation) also bring with them an issue of size, in which "the scale of a task transcends the limits of simple spatio-temporal structure. By this is meant conditions under which those concerned can complete a job in one place at one time, i.e., the situation of the face-to-face, or singular group". In other

words, in classic organisations the "wholeness" of a task is often diminished by multiple group integration and spatiotemporal disintegration.^[9] The group based form of organization design proposed by sociotechnical theory combined with new technological possibilities (such as the internet) provide a response to this often forgotten issue, one that contributes significantly to joint optimisation.

ORGANISATIONAL DESIGN

Some of the most important design models are given below

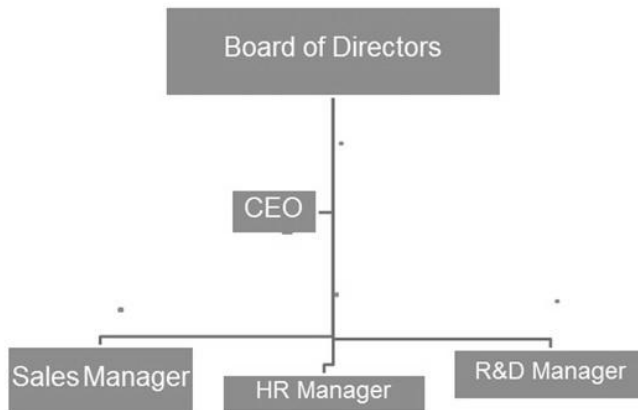
Functional Organizational Design Model

Organizations that implement the functional model of organizational design divide their functioning into different fields. For example, there will be different boxes for different departments like marketing, finance, sales, legal, R&D and HR, etc. These departments will have their own separate board-level departments and sub-departments. This structural arrangement is reminiscent of the military line of command, where a strict pyramidal hierarchy and chain of action was observed.

The size and sub-divisions of each department varies according to the business needs. For example, if it is a law firm, their legal department will be more populated and sub-divided as compared to their R&D Department. Some organizations merge their Sales Department with the Marketing Department, so that the managers can work in-sync and bring ideas that support each other's functioning.

Functional organizational structures are best for self-contained working units, such as a small company or a freelance-assignment team. The downside to this structure is that because of the strict hierarchical framework, issues tend to escalate to the vertical reporting authority, rather than getting sorted out by mutual understanding between two lateral units.

A typical functional organizational structure would look like this –



Geographical Organizational Design Model

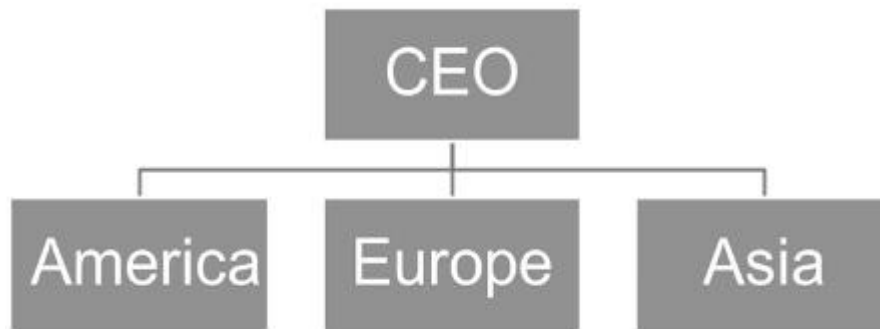
As long as organizations remained localized, it was considered that the functional design is best suited for running business. However, when companies expanded and started operating beyond international boundaries, there was a need felt for a globalized model, which considers all the geography-influenced factors like local festivals, culture, communication style, way of conducting business, etc.

Example

A boss is a very formal, distant and authoritative figure in Russia, unlike the “team player” bosses that are the norm in the USA. To address such issues, multinational organizations started adopting to a geographical organizational structure.

Geographical organizational structure is tailor-made to suit the workings of an organization which has business presence in different countries and wants to understand the native culture of that place in order to understand its customers better. In this model, the top management employs local decision-makers to implement plans suited to local sensibilities. However, there is a potential issue with the usage of this organizational model by a company, which wants to have a global brand identity and has strong core values that it wants to be practiced in all cultures. In such situations, friction often arises between the regional offices and head office.

A typical geographical organizational structure would look like this –



Product-oriented Organizational Design Model

In such models, the organization designs itself are based on its products. For example, a company that manufactures domestic electrical appliances may divide its business model on its prime-selling products, such as fans, water pumps, etc. Each product will have its own set of operations, employees, offers, etc.

This model works best in organizations that provide entrepreneurial opportunities to people with good business ideas. These people are made managers and an entire unit is assigned to them. In such a competitive environment, where different product lines are being run by separate teams dedicated to its marketing, promotion and sales; rivalry is sure to develop. This rivalry is healthy for business. However, if not nurtured in a healthy way, it can lead to bitter conflict after a particular stage.

A typical product-oriented organizational structure would look like this –



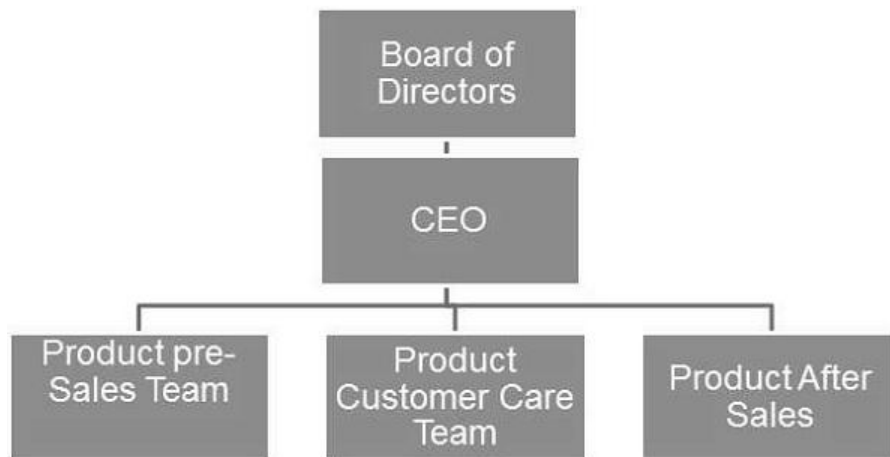
Market-oriented Organizational Design Model

In a market-oriented organization model, the focus of the company is in addressing the needs of the customers, as opposed to manufacturing products and creating the market for them, which the food industry often does. These models revolve around the logistics of serving a small number of customers, who can give them the business they need to be profitable. In such cases, it is very often to find an entire plant dedicated to manufacturing just a single line of products.

A few notable examples of organizations that adopt this model are from the automobile industry. Companies like BMW, Ferrari, Ducati, etc. have a niche customer base. These companies cater only to their customer base. The less number of customers gives a good opportunity for the sales managers to build strong business relationships with their clients. The customers also appreciate the personalized touch and enhanced customer service.

Such models work best when high quality assurance is given and the business growth depends more on interpersonal skills and relationship-building, as opposed to heavy advertisements and promotion.

A typical product-oriented organizational structure would look like this –

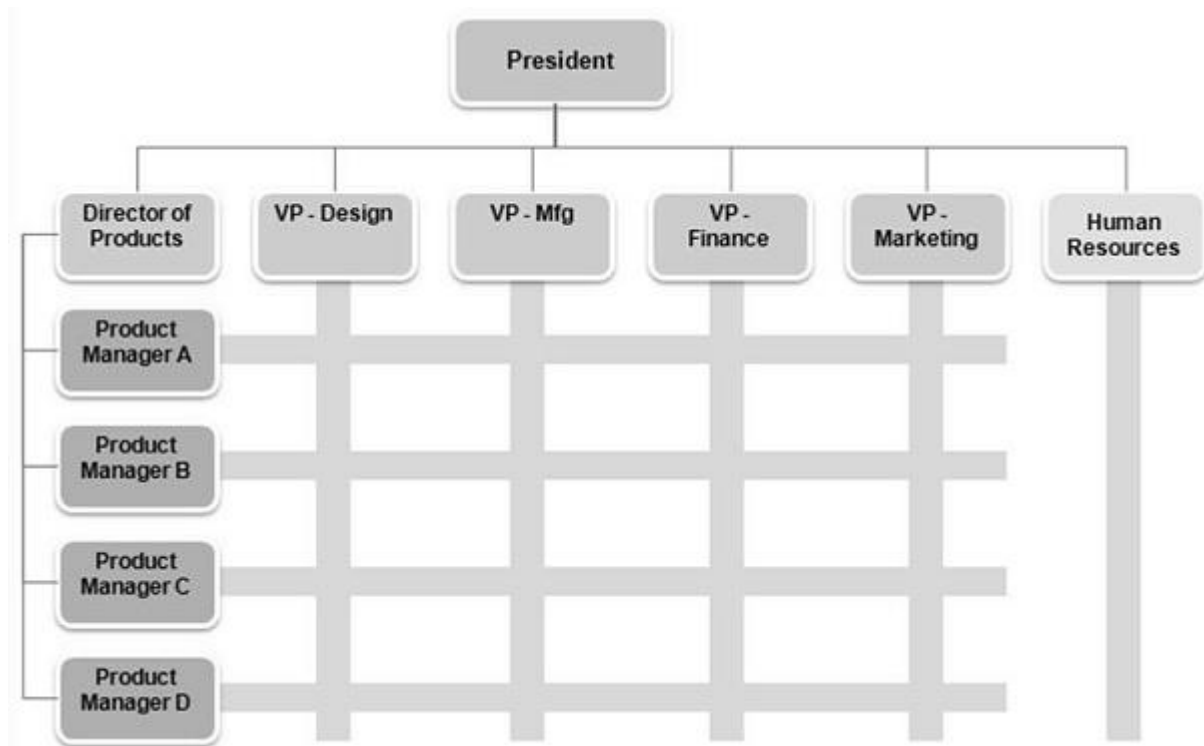


Matrix Structure Organizational Design Model

Matrix Structures are used when there is a high demand from the customers as well as a fundamental need to ensure efficiency and bureaucracy. This structure is used when projects employing many people are implemented and the clients want one organization whom they can entrust for the successful implementation of their plan. A few such sectors are construction, architecture, civil engineering, etc.

In this model, an employee reports to two bosses at the same time – one, an immediate supervisor and the other one the manager of the process. This results in role conflict and authority-related issues. If the supervisor and manager end up giving two conflicting or opposing instructions, then the employee gets stuck between two authorities.

A typical Matrix organizational structure would look like this –



Conclusion

In spite of these different organizational models, companies don't have to stick to just one organizational model for all their businesses. In fact, many multinational companies implement product-oriented organizational design models in one country, whereas operating on a matrix model in some other country. Successful companies manage to find scopes of usage of all these models in different places and processes.